

2.0%

Canada Housing REAL CAGR

3.9%

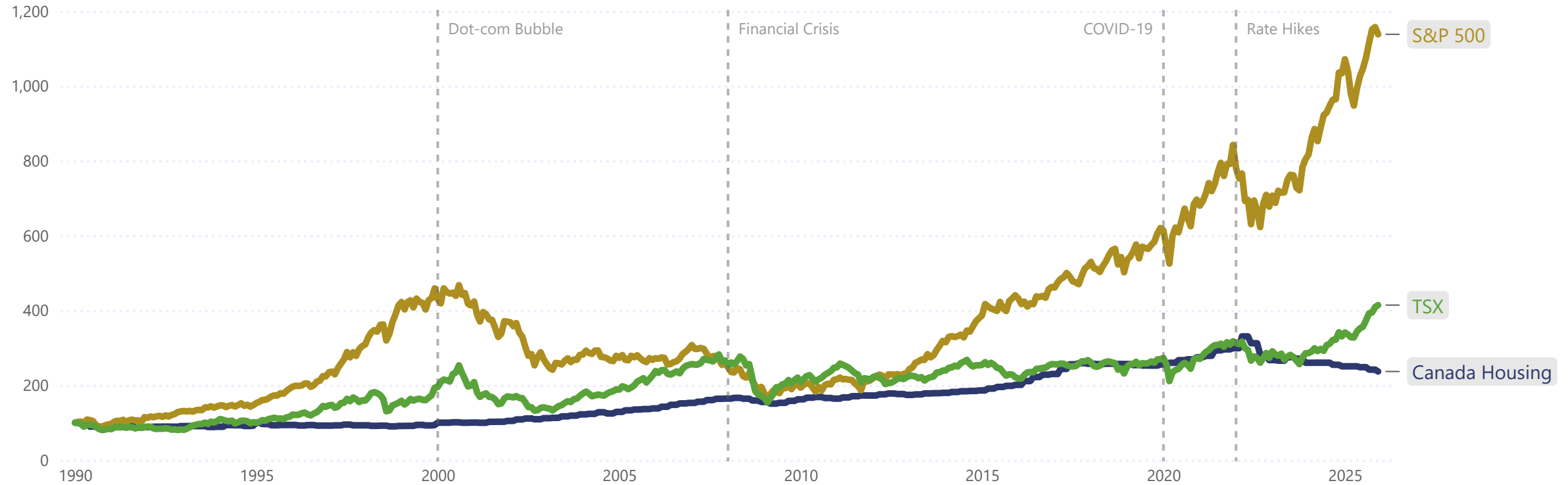
TSX REAL CAGR

7.0%

S&P 500 REAL CAGR

Long-Term Real Growth of Canadian Housing and Equity Markets (1990–2025)

Inflation-Adjusted Indexed Growth (1990 = 100)



Sources: BIS RPPS, Yahoo Finance, FRED, Statistics Canada; author calculations.

Note: Equity returns include reinvested dividends; housing reflects price appreciation only and excludes imputed rent/shelter value.

key insights: Over 35 years, U.S. equities delivered the strongest real growth, while Canadian housing was more stable but produced lower price appreciation. However, housing returns also depend on leverage, shelter value, and ownership costs.

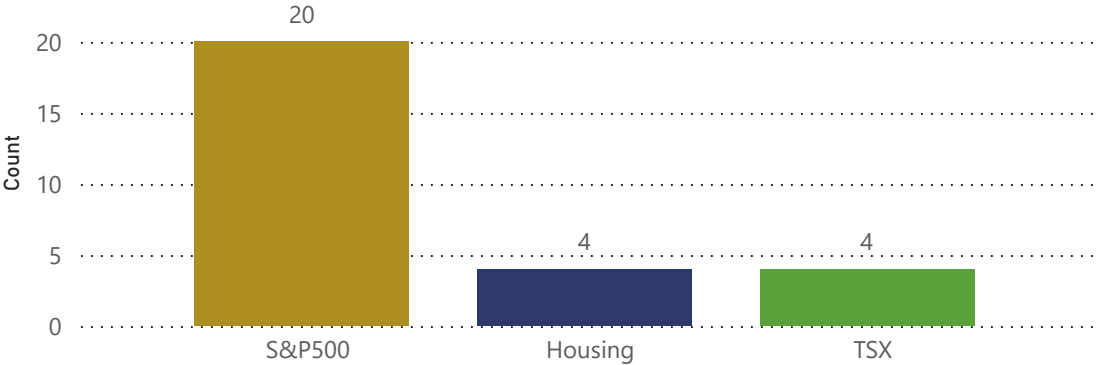
Best Performing Asset and Real CAGR by Entry Period and Holding Horizon

Values in parentheses represent annualized real CAGR.

Holding Period (Years)	1990	1995	2000	2005	2010	2015	2020
5	S&P500 (13.8%)	S&P500 (22.0%)	Housing (6.7%)	TSX (5.5%)	S&P500 (17.9%)	S&P500 (12.5%)	S&P500 (13.1%)
10	S&P500 (15.2%)	TSX (8.5%)	Housing (5.1%)	S&P500 (4.9%)	S&P500 (13.7%)	S&P500 (11.4%)	
15	S&P500 (6.8%)	TSX (6.2%)	Housing (4.8%)	S&P500 (6.4%)	S&P500 (12.5%)		
20	TSX (4.4%)	S&P500 (5.4%)	Housing (5.2%)	S&P500 (7.4%)			
25	S&P500 (6.1%)	S&P500 (6.3%)	S&P500 (4.0%)				
30	S&P500 (6.7%)	S&P500 (6.9%)					
35	S&P500 (7.2%)						

Note: Blank cells indicate holding periods not yet observable from a given entry year (e.g., a 35-year hold is only possible from 1990).

Number of Winning Scenarios by Asset



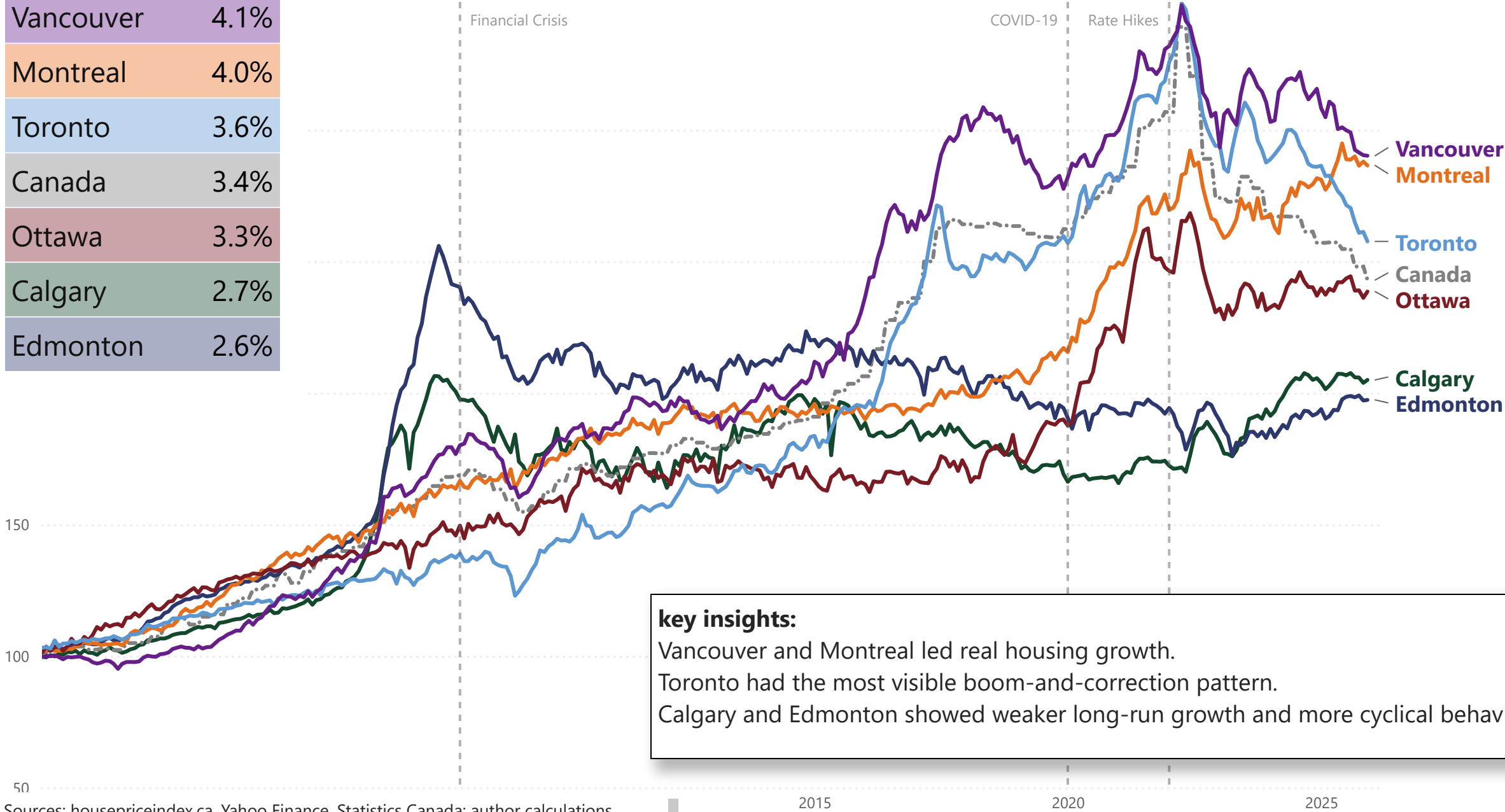
key insights: The S&P 500 won 20 of 28 scenarios. Housing won only for the 2000 entry cohort — buying just before the dot-com crash beat equities for two full decades — showing that timing, not just asset choice, drives the winner.

Regional Housing Market Structures in Canada (1999–2025)

Attribute CAGR ▼

Vancouver	4.1%
Montreal	4.0%
Toronto	3.6%
Canada	3.4%
Ottawa	3.3%
Calgary	2.7%
Edmonton	2.6%

Inflation-Adjusted Indexed Growth (1999 = 100)



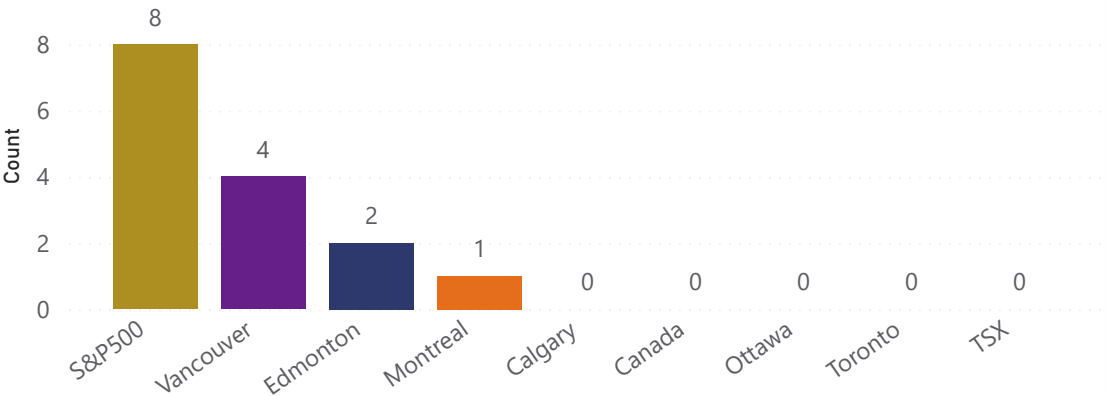
Sources: housepriceindex.ca, Yahoo Finance, Statistics Canada; author calculations.

Regional Housing Competitiveness Across Investment Horizons

Values in parentheses represent annualized real CAGR.

Holding Period (Years)	2000	2005	2010	2015	2020
5	Montreal (7.4%)	Edmonton (8.6%)	S&P500 (17.9%)	S&P500 (12.5%)	S&P500 (13.1%)
10	Edmonton (7.1%)	Vancouver (6.3%)	S&P500 (13.7%)	S&P500 (11.4%)	
15	Vancouver (5.7%)	S&P500 (6.4%)	S&P500 (12.5%)		
20	Vancouver (5.6%)	S&P500 (7.4%)			
25	Vancouver (4.3%)				

Number of Winning Scenarios by Asset



key insights:

- The S&P 500 won 8 of 15 scenarios and every entry from 2010 onward — once equities recovered from the crisis, no regional market caught them.
- Regional housing won only for pre-crisis entries (2000 and 2005): Vancouver led all longer holds from 2000, still 4.3% real after 25 years, while Edmonton and Montreal topped scattered short-term windows.
- Vancouver was the most durable housing winner — the only market to beat equities across 15-, 20-, and 25-year holds from a single entry year.
- No city's housing beat the S&P 500 for any entry after 2005, and the TSX never won a single scenario — regional housing competes at specific entry points, not as a long-run strategy.

Ownership Assumptions

Category	Assumption
Down payment	20%
Mortgage	5-year fixed
Amortization	25 years
Property tax	Dynamic by city
Maintenance	1/3 of market rent
Depreciation	1% of structure value
Insurance	0.3% of house value
Purchase cost	1%
Sale transaction cost	6%

Renting & Investment Assumptions

Category	Assumption
Renter discipline	100%
Rent growth mode	Controlled / Market
Rent control	Dynamic by city
Move probability	Dynamic by city
Move cost	Dynamic by city and rent
Market rent	Dynamic by city
Effective Rent Paid	Simulated with rent-control logic
Investment portfolio	100% TSX
Investment fee	0.10%
Tax drag	Dynamic by portfolio
Monthly contribution	Owner cost - renter cost
Portfolio return	Dynamic by portfolio
Portfolio return net	Net return after fees & taxes

1.26K

Final Owner Net Worth Index

1.18K

Final Renter Net Worth Index

13.5%

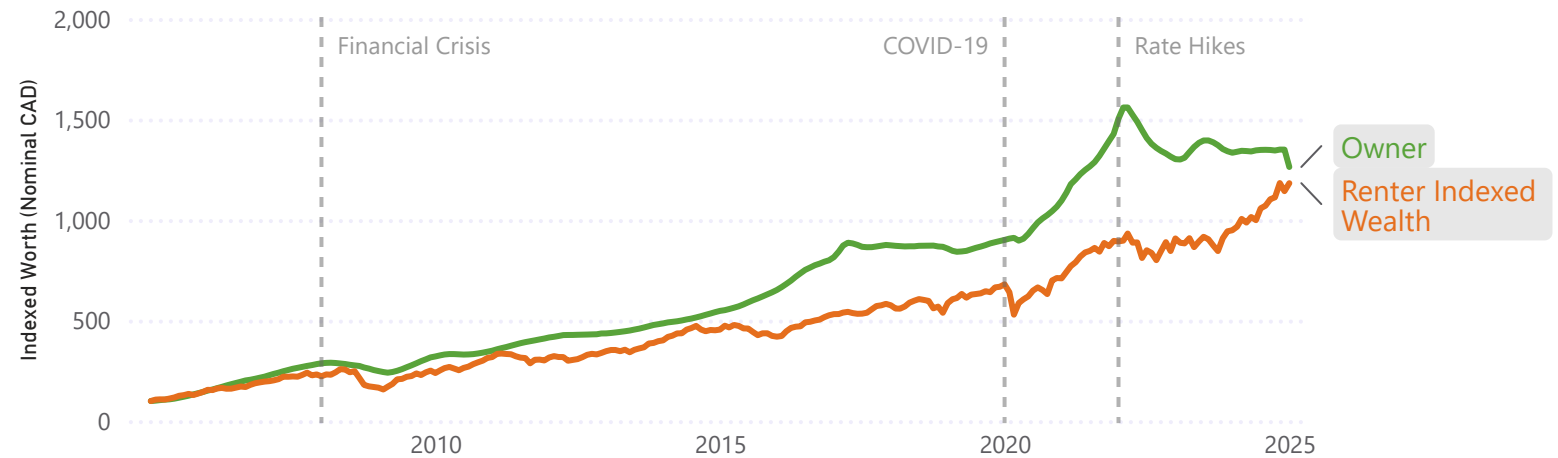
CAGR Owner Net Worth

13.2%

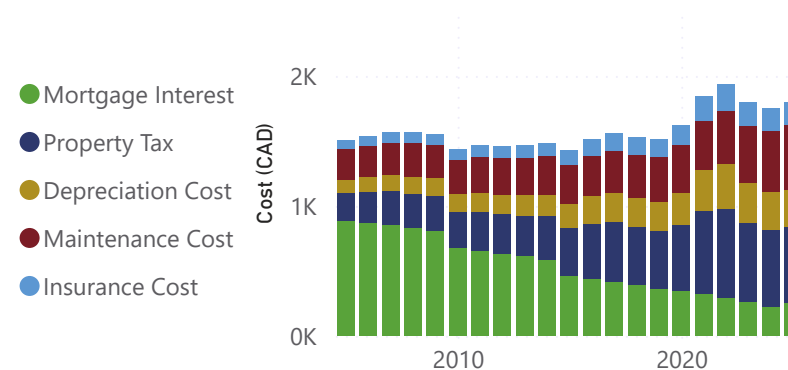
CAGR Renter Net Worth

Canada-wide Indexed Wealth Growth: Renting vs Buying (2005–2025)

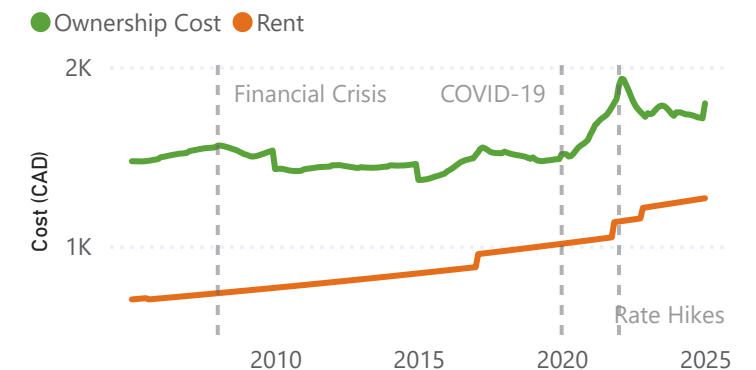
Both paths indexed to equal starting capital, 2005 = 100



Ownership Cost Components Over Time



Monthly Rent and Ownership Cost Comparison



key insights: Nationally, owning and renting were a virtual tie over 2005–2025 under base assumptions, with a slight edge to owning — a near-draw the following pages decompose by city and risk factor.

Indexed Wealth Growth by City: Renting vs Buying (2005–2025)

All paths indexed to equal starting capital, 2005 = 100. Green indicates owner advantage.

City	Winner	Final Owner Net Worth Index	Final Renter Net Worth Index	Owner Net Worth CAGR	Renter Net Worth CAGR	CAGR Gap
Vancouver	Owner	1,581.46	664.79	14.8%	9.9%	4.9%
Toronto	Owner	1,388.73	1,061.81	14.1%	12.5%	1.5%
Calgary	Owner	1,145.16	947.89	13.0%	11.9%	1.1%
Montreal	Owner	1,261.16	1,045.34	13.5%	12.5%	1.1%
Edmonton	Owner	1,024.70	925.02	12.3%	11.8%	0.6%
Ottawa	Owner	1,140.97	1,060.33	12.9%	12.5%	0.4%
Canada	Owner	1,264.00	1,183.49	13.5%	13.2%	0.4%

key insights:

- Owning won in all seven markets on an equal-capital basis.
- Vancouver had by far the widest margin — 14.8% vs 9.9%, a 4.9-point CAGR gap that compounds to roughly 2.4× the renter's final wealth.
- Ottawa, and Edmonton were near-ties (0.4–0.6 points), where renting stayed competitive.

1.43K

National Average Ownership Cost

1.10K

National Average Rent

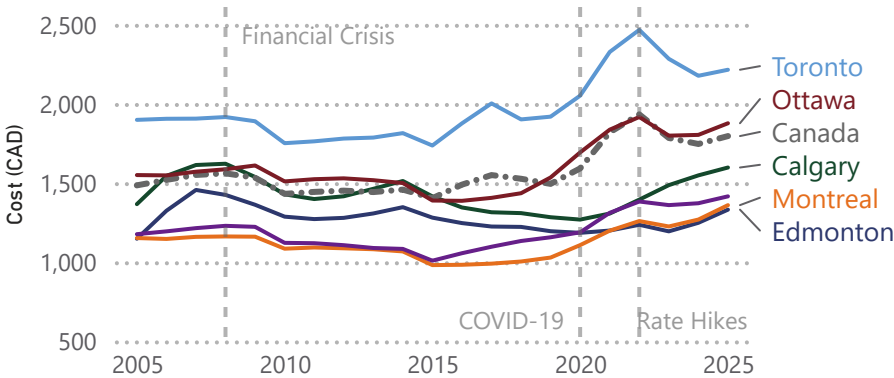
0.8%

Ownership Cost CAGR

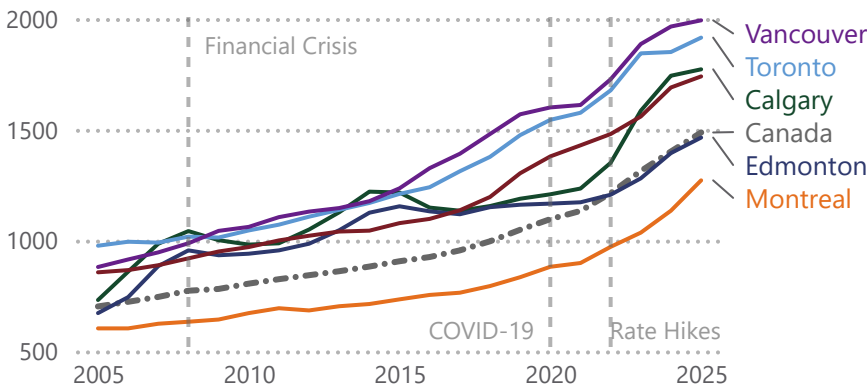
3.6%

Rent CAGR

Ownership Cost Dynamics (2005-2025)



Market Rent Growth Dynamics (2005-2025)



key insights:

- Rents grew 3.6% a year versus just 0.8% for ownership costs — more than four times faster across most cities.
- Ownership costs stayed nearly flat until the post-2020 rate hikes, while rents climbed steadily and accelerated after 2020.
- The renter's early monthly cost advantage (1.10K vs 1.43K) eroded as rents compounded — the structural reason ownership pulled ahead long-term.

- city
- Calgary

Edmon...

Montreal

Ottawa

Toronto

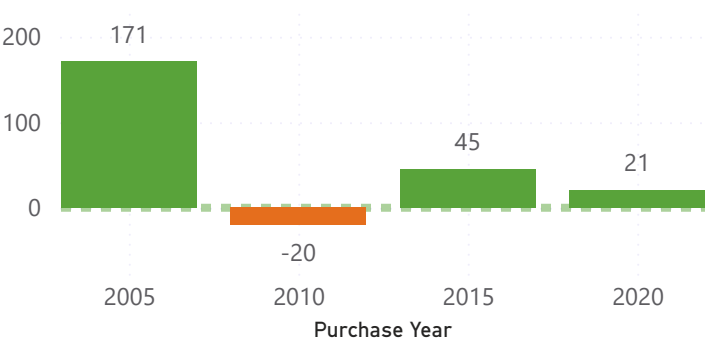
Vancou...

Owner vs Renter Indexed Wealth Gap Across Time Horizons

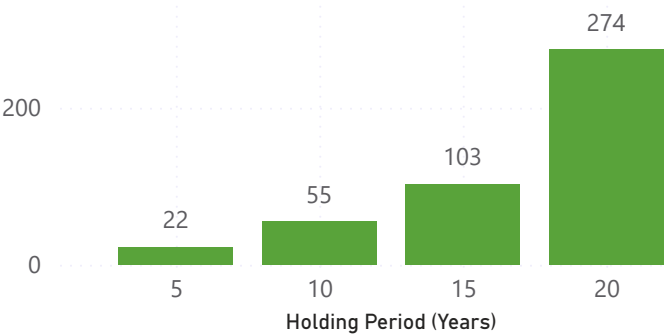
Green indicates owner advantage; red indicates renter-investor advantage based on final indexed wealth gap.

Start Year	5	10	15	20
2005	145.63	95.51	476.78	916.67
2010	-95.31	122.81	389.11	
2015	199.42	509.40		
2020	149.83			

Average Indexed Wealth Gap (Owner - Renter) by Purchase Year



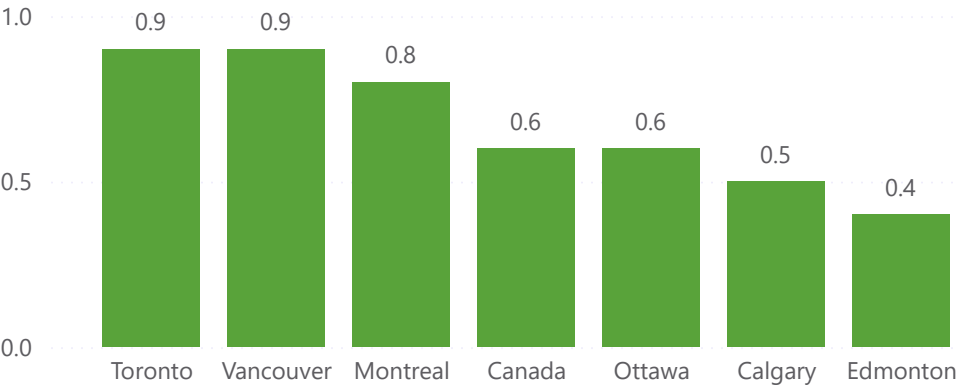
Average Indexed Wealth Gap (Owner - Renter) by Holding Years



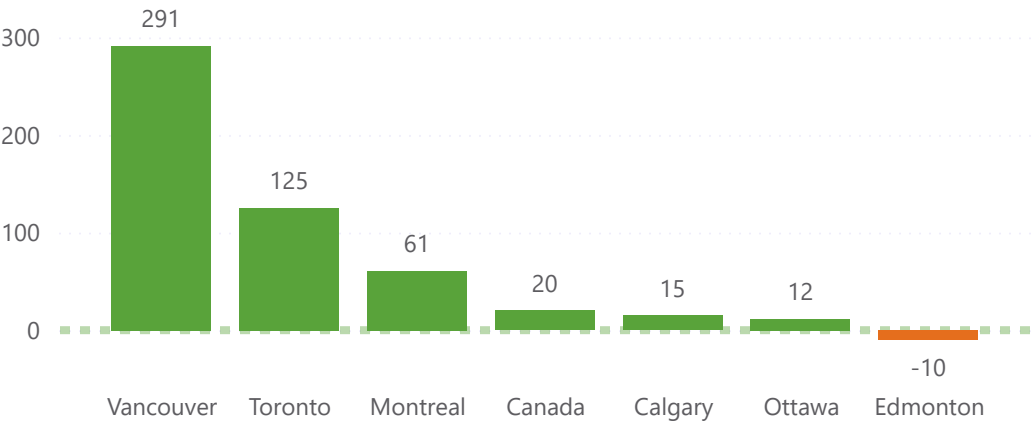
key insights:

- Entry timing mattered but had limits: 2005 was the best year to buy (+171), and 2010 the only year renting won (−20), reflecting post-crisis housing weakness.
- Holding period was the bigger driver — the average gap more than quadrupled, from +22 at 5 years to +274 at 20 years.
- Bottom line: ownership's edge comes from *time in the market, not timing it* — the longer you hold, the more decisively buying wins.

Owner Win Rate by City



Average Indexed Wealth Gap (Owner - Renter) by City

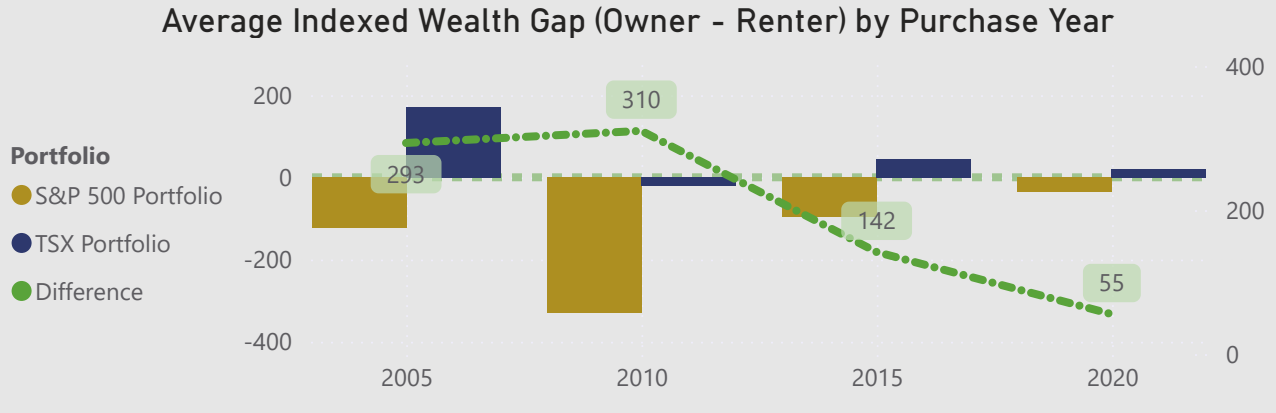


key insights:

- Toronto and Vancouver favored owning most strongly, with owner win rates near 90%.
- Vancouver produced by far the largest wealth gap (+291) — more than double Toronto's (+125).
- Montreal leaned to owning (+61) but moderately; Canada, Calgary, and Ottawa were roughly balanced (+12 to +20).
- Edmonton was the lone exception — renting slightly outperformed owning on average (−10), the only negative gap in the country.

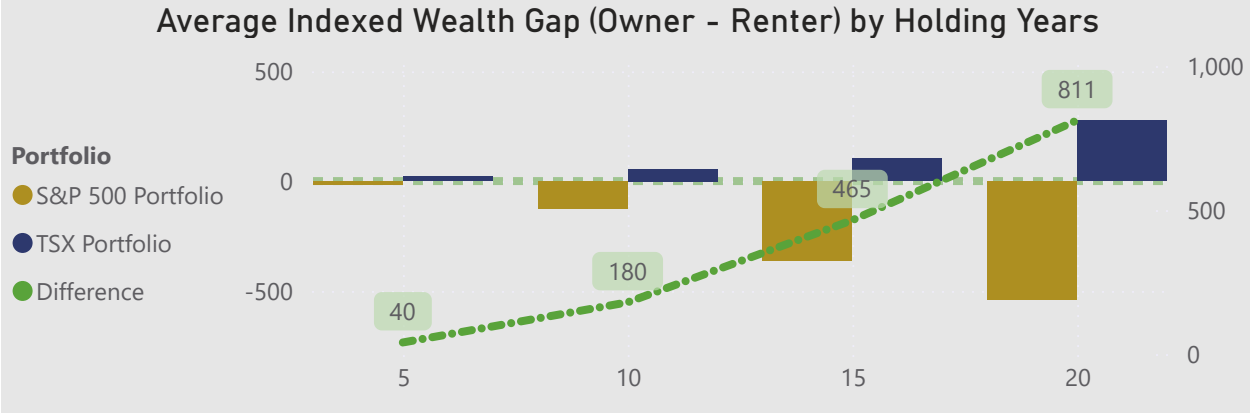
Investment Risk: Renter Portfolio Sensitivity

Assumptions: Base Rate, 100% Investment Discipline. Positive values indicate homeowner outperformance.



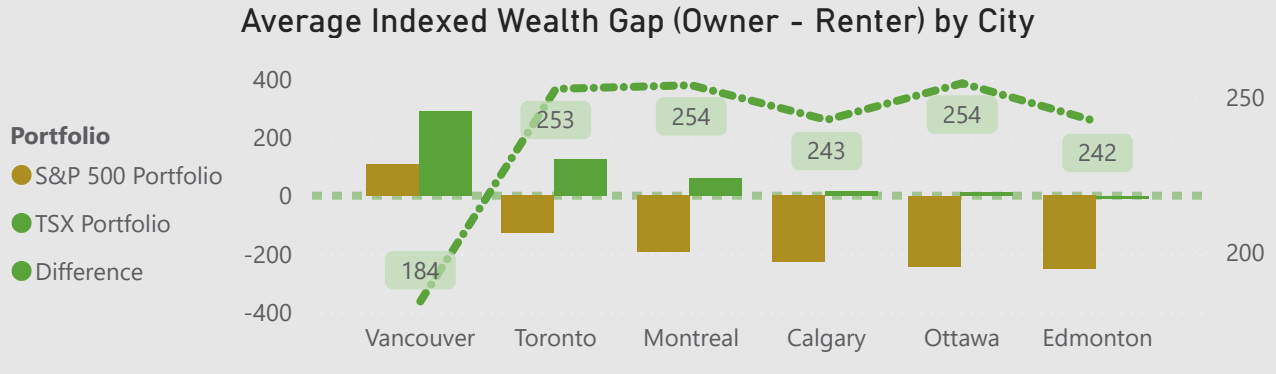
The S&P 500 portfolio narrowed the homeowner's advantage in every cohort, making renting more competitive across the board.

The effect was largest for early buyers — 293 points (2005) and 310 (2010) — and faded for recent cohorts (142 in 2015, 55 in 2020), which had less time for the S&P's edge to compound.

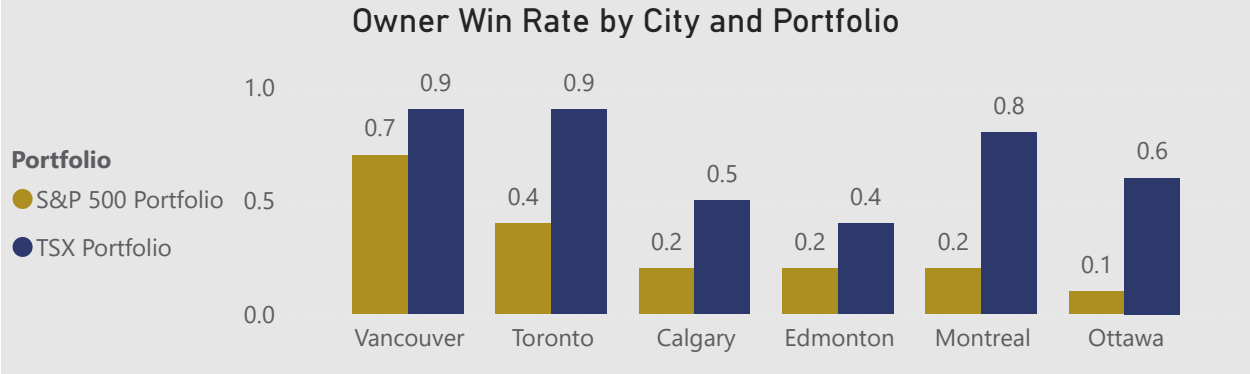


Portfolio choice mattered far more the longer the renter held — the swing grew from 40 points at 5 years to 811 at 20 years, a 20-fold increase.

That's compounding at work: the S&P 500's return edge over the TSX widens over time, making the renter's portfolio the decisive factor at long horizons.



Portfolio choice moved outcomes in every city, by 184 to 254 points — a large and broadly uniform effect. It mattered least in Vancouver (184), where powerful housing appreciation dominated the result, and most in Toronto, Montreal, and Ottawa (~253), where the portfolio drove more of the gap.

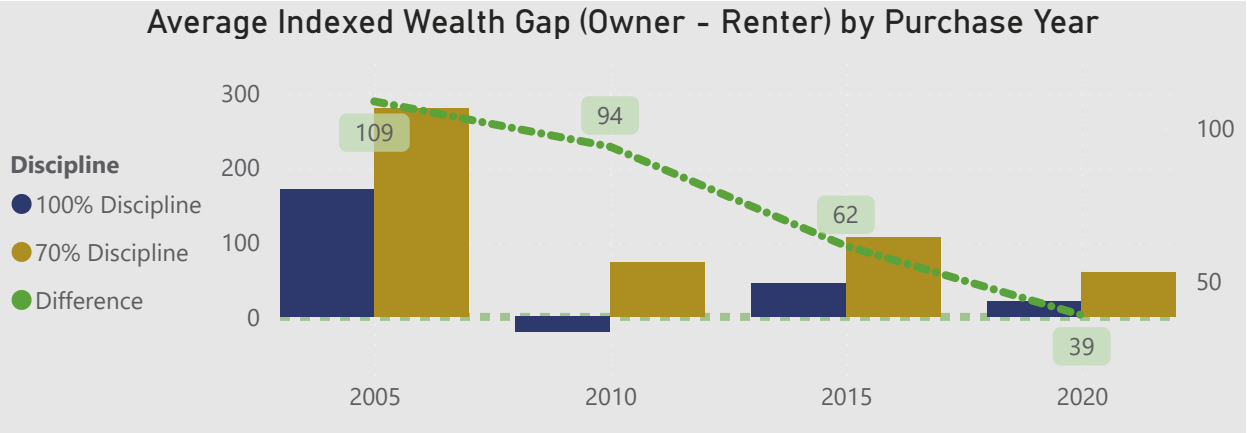


Switching the renter to the S&P 500 cut the homeowner's win rate in every city. Montreal saw the largest fall (80% → 20%), while Toronto's drop was the most striking — from a near-certain 90% under the TSX to a 40% coin-flip — showing the renter's portfolio alone can flip the rent-vs-buy verdict.

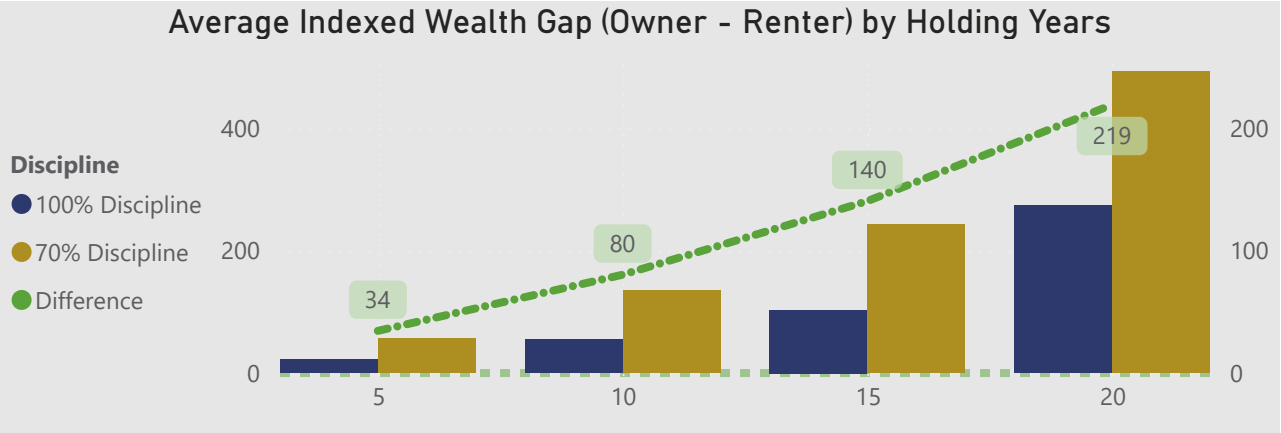
key insights: Portfolio choice was the most powerful lever in the analysis — a renter in the S&P 500 rather than the TSX erased most of the homeowner advantage, and at 20-year horizons the swing reached 811 indexed points.

Behavioral Risk: Renter Discipline Sensitivity

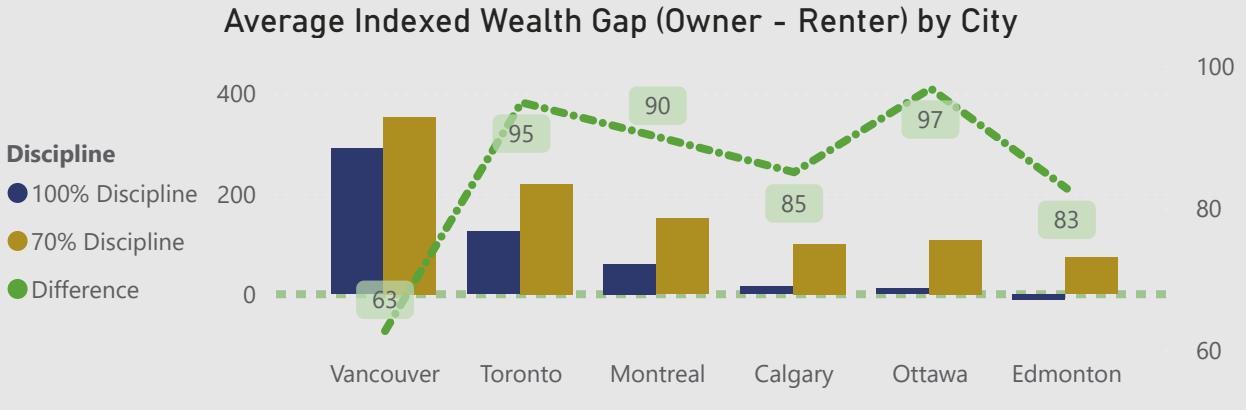
Assumptions: Base Interest Rate, TSX Portfolio. Positive values indicate homeowner outperformance.



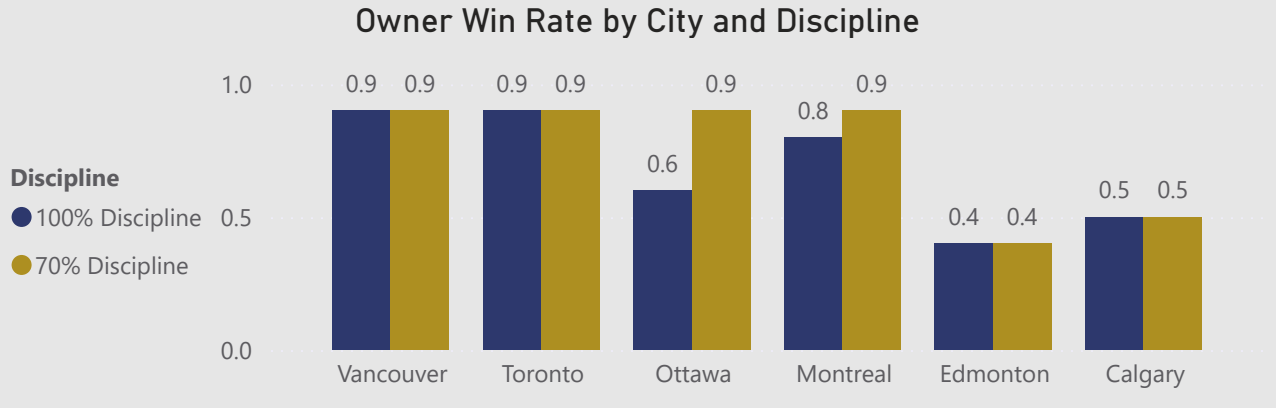
A less-disciplined renter (70%) handed more advantage to owners in every cohort. The effect was largest for early buyers (109 points in 2005) and faded steadily for recent ones (down to 39 in 2020), which had less time for the under-investment to compound.



Discipline mattered far more the longer the renter held — the effect grew from 34 points at 5 years to 219 at 20. Each year of under-investing compounds, so discipline becomes increasingly decisive over long horizons.



Behavioral sensitivity was largest in balanced markets — Ottawa (97), Toronto (95), and Montreal (90) — where discipline strongly shaped outcomes. Vancouver was least sensitive (63) despite the biggest overall wealth gap, showing strong housing appreciation, not behavior, drove its result

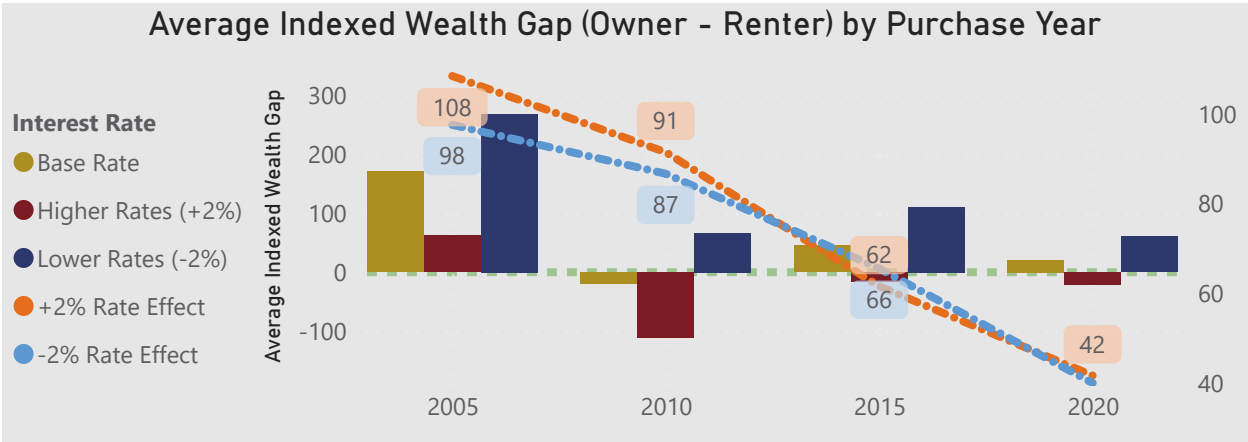


Lower discipline raised owner win rates in Ottawa and Montreal but left most cities unchanged. Ottawa shifted most — from a 60% win rate to 90% — showing behavior alone can tip a near-balanced market decisively toward buying.

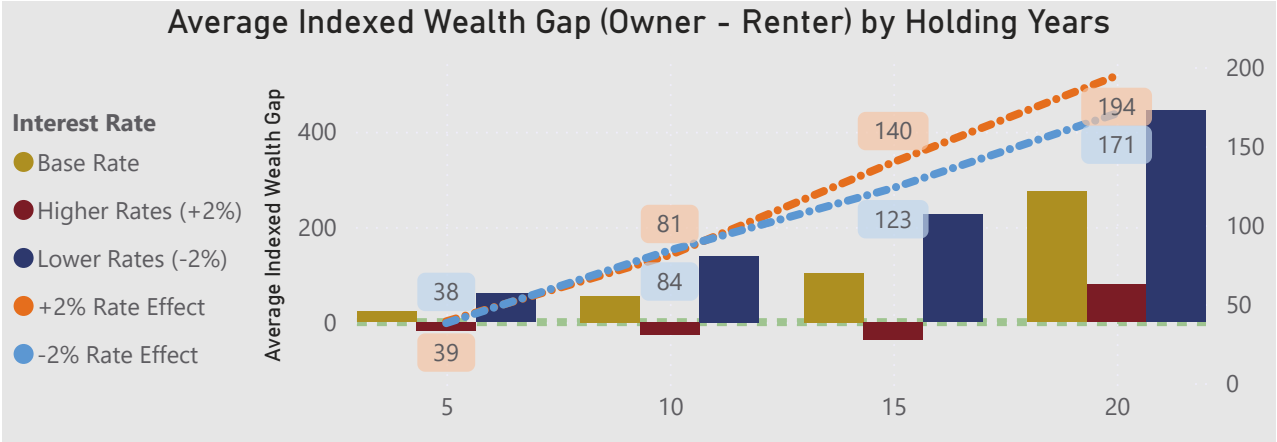
key insights: Renter discipline was a meaningful but secondary lever — its effect grew with the holding period to 219 indexed points after 20 years and could flip marginal markets like Ottawa, yet stayed well below the 811-point portfolio effect.

Financing Risk: Interest Rate Sensitivity

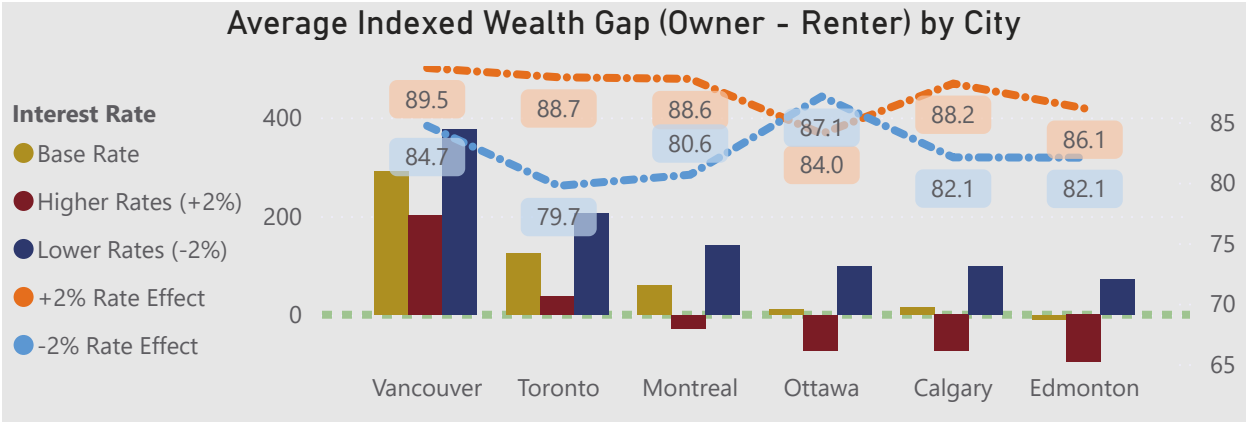
Assumptions: TSX Portfolio, 100% Investment Discipline. Positive values indicate homeowner outperformance.



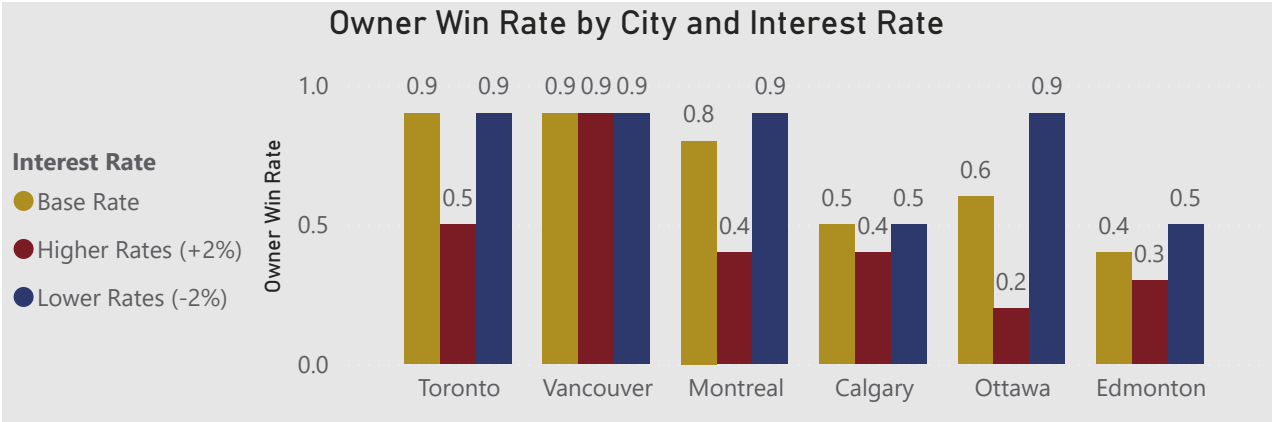
Rate sensitivity was highest for the 2005 cohort (wealth-gap impact above 100 points) and declined for recent buyers (to ~42 by 2020). Earlier buyers held longer and accumulated more rate exposure, so financing conditions mattered most for long-held purchases.



The rate impact grew with holding period, reaching nearly 200 indexed points after 20 years. Like the other factors, rate effects compound — the longer the mortgage runs, the more rate levels shape the outcome.



Vancouver showed the greatest financing sensitivity; Toronto and Montreal responded least to rate changes. The spread reflects price levels — pricier markets carry larger mortgages, so rate shifts move their outcomes more.



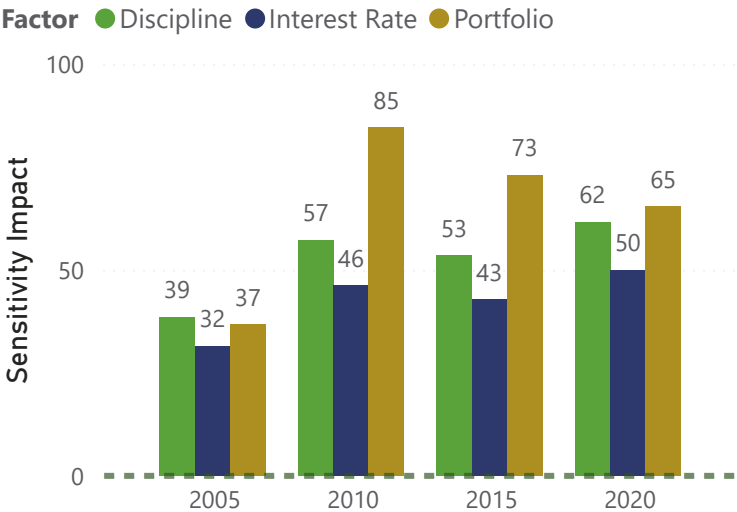
Lower rates raised owner win rates in every city; higher rates lowered them. Ottawa swung most — from 20% under higher rates to 90% under lower — while Vancouver held at 90% throughout, its owner advantage too large for rates to flip.

key insights: Interest rates were a moderate lever — their impact grew with holding period to nearly 200 points and could swing marginal markets like Ottawa (20%→90% win rate), but, like discipline, remained secondary to the portfolio effect.

Sensitivity Comparison Across Investment Horizons

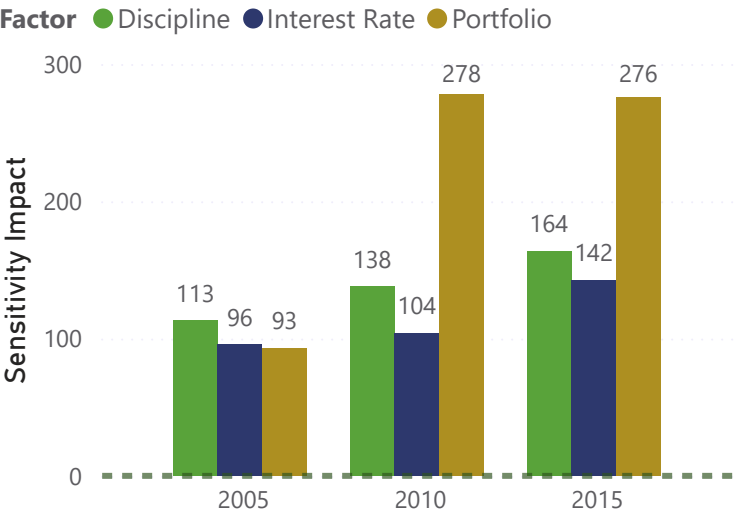
5-Year Risk Impact

Impact Value by Purchase Year

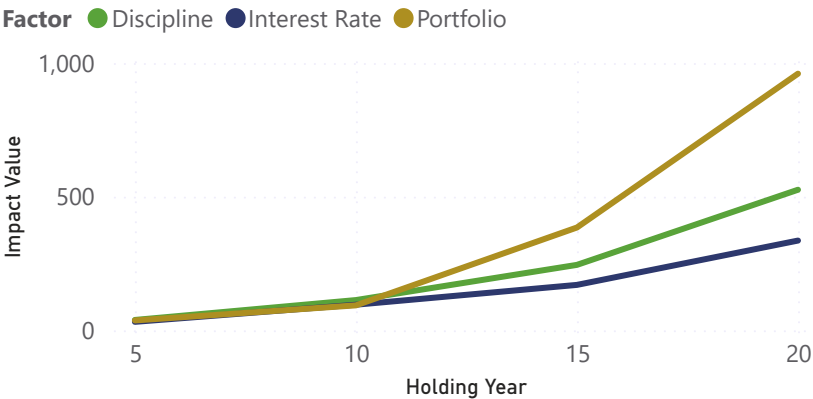


10-Year Risk Impact

Impact Value by Purchase Year



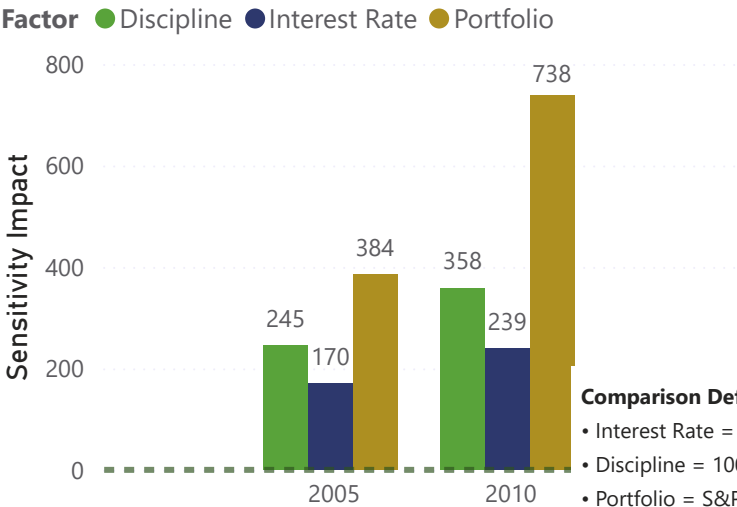
Growth of Key Risk Factors Across Holding Periods (2005 Entry)



Owning generally won 2005–2025 under base assumptions, but the verdict was fragile — what the renter invested in mattered more than financing terms or behavior, and far more than housing's own modest appreciation.

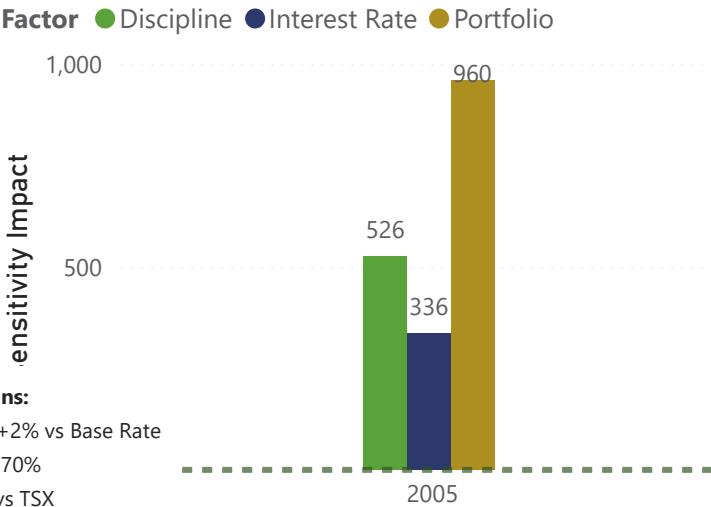
15-Year Risk Impact

Impact Value by Purchase Year



20-Year Risk Impact

Impact Value by Purchase Year



Comparison Definitions:

- Interest Rate = Base + 2% vs Base Rate
- Discipline = 100% vs 70%
- Portfolio = S&P 500 vs TSX

key insights:

- All three risk factors grew with holding period — long-run outcomes were far more sensitive than short-run ones, where the factors were roughly comparable.
- Portfolio choice was the dominant driver, rising to nearly 1,000 indexed points at 20 years — about double the discipline effect (526) and triple the rate effect (336).
- Renter discipline and interest rates mattered but grew more slowly, staying secondary over long horizons.

Final Conclusions & Key Takeaways

Summary of Key Results

Dimension	Finding
Strongest raw asset	S&P 500 (7.0% real CAGR)
Base-case winner	Owner — narrowly, all 7 cities
Most owner-favourable city	Vancouver (+291 avg gap)
Most renter-competitive city	Edmonton (-10)
Dominant risk factor	Portfolio choice (up to 811 pts)
Biggest driver of advantage	Holding period

The Verdict Over 2005–2025, homeownership generally outperformed renting across major Canadian cities under base assumptions — but the advantage was narrow, conditional, and reversible. Owning won in all seven markets on an equal-capital basis, yet the national gap was slim (owner 13.5% vs renter 13.2% CAGR), and the outcome depended heavily on city, holding period, and above all on what the renter chose to invest in.

Why Owning Won Despite Weak Housing Returns

As a raw asset, Canadian housing was the weakest of the three studied — 2.0% real annual growth since 1990, versus 3.9% for the TSX and 7.0% for the S&P 500. Ownership still competed because its returns came not from appreciation but from leverage (a 20% down payment controlling the full asset), avoided rent, and forced saving. Housing succeeded as a financial structure, not as a price line.

What Mattered Most Three levers determined the rent-versus-buy outcome — and they did not matter equally:

- **Investment portfolio — the dominant driver.** A renter holding the S&P 500 instead of the TSX erased most of the ownership advantage; the effect reached 811 indexed points at 20 years and flipped Toronto from a 90% owner win rate to 40%.
- **Holding period — time amplified everything.** The average wealth gap rose from +22 (5 years) to +274 (20 years). Long-term ownership benefits came from time in the market, not timing it.
- **Renter discipline and interest rates — real but secondary.** Each could swing marginal markets like Ottawa, but both grew more slowly than the portfolio effect (≤ 219 and ~ 200 points, versus ~ 960 at 20 years).

Patterns by City

- Vancouver was the only consistently owner-dominant market — the largest wealth gap (+291) and the least sensitive to behaviour or portfolio choice.
- Toronto and Montreal favoured owning but were sensitive to the renter's decisions.
- Calgary, Edmonton, and Ottawa were near-ties, where renting stayed fully competitive — Edmonton was the only market where renting slightly won on average (–10).

Limitations

- Results reflect the 2005–2025 (and 1990–2025) historical period; past performance does not guarantee future outcomes.
- Conclusions are sensitive to the base assumptions (20% down, 5-year fixed, 25-year amortization, TSX portfolio, 100% renter discipline) — the sensitivity analysis shows how much these move the result.
- Simulation figures are nominal; housing and equity series use national or benchmark indices that smooth over property-, neighbourhood-, and type-level variation.
- The model assumes consistent renter investing behaviour, which is rarely perfect in practice.

Practical Implications

- Buying is most attractive for long-horizon, stable buyers in high-appreciation markets such as Vancouver and Toronto.
- Renting can match or beat owning for disciplined investors holding strong equity portfolios — particularly U.S. or global equities rather than the TSX.
- The decision depends less on housing itself than on two behavioural questions: how long will you stay, and will you actually invest the difference — and in what?

Bottom Line The rent-versus-buy question has no universal answer. Over the past two decades, owning won modestly under typical conditions, but a disciplined renter-investor in a strong portfolio could do just as well or better. The outcome was driven more by investment behaviour and time horizon than by housing appreciation or financing terms.

Description

Actual renter payments are simulated using a rent-control framework. Existing tenants experience regulated rent increases under rent-control rules, while moving renters reset to prevailing market rents. This creates divergence between market rent and actual paid rent over time.

An annual investment management fee of 0.10% is applied to portfolio returns to approximate low-cost ETF investing.

Description

Depreciation is applied only to the structure portion of the home, not the land. Different cities use different structure value shares: Canada 50%, Toronto 45%, Vancouver 35%, Calgary 60%, Edmonton 60%, Ottawa 50%, and Montreal 50%. This reflects differences in land value intensity across cities, especially in high-land-value markets such as